

Multiple Choice (10 marks)

1. What could the government do to most effectively avoid a free rider problem?
 - (a) Supply public goods using tax dollars
 - (b) Initiate a lottery system for the usage of public goods
 - (c) Enact stricter antitrust legislation
 - (d) Increase the prices of public goods
 - (e) Allow private companies to supply public goods
2. Scarcity is best defined as
 - (a) the opportunity cost of not pursuing a given course of action.
 - (b) the difference between unlimited wants and limited economic resources.
 - (c) the difference between unlimited resources and unlimited economic wants.
 - (d) the opportunity cost of pursuing a given course of action.
 - (e) the difference between the total benefit of an action and the total cost of that action.
3. If there is a monopolistically competitive industry with firms enjoying above-normal profits, what will probably happen to costs as other firms enter the industry?
 - (a) costs will tend to rise
 - (b) costs will decrease
 - (c) costs are not affected by entry of new firms
 - (d) costs will remain the same
4. Which one of the following would be a plausible response to a finding of residual non-normality?
 - (a) Use a logarithmic functional form instead of a linear one
 - (b) Add lags of the variables on the right hand side of the regression model
 - (c) Estimate the model in first differenced form
 - (d) Remove any large outliers from the data.
5. What gives rise to the so-called pecuniary economies or diseconomies of scale
 - (a) Changes in the market demand and supply
 - (b) Changes in the short-term operational efficiency of the company
 - (c) Fluctuations in the stock market affecting the company's capital valuation

- (d) Changes in the overall economic condition
- (e) Changes in the long-run cost per unit of output due to variations in the prices of inputs

True / False (10 marks)

Answer True or False

- 6. True or False: If interest rates rise in country A, the value of country A's currency will fluctuate unpredictably against country B's currency.
- 7. True or False: Marx believed that capitalists accumulate wealth primarily to fund social welfare programs for society.
- 8. True or False: Including relevant lagged values of the dependent variable in a regression can produce biased, inconsistent, and inefficient estimates.
- 9. True or False: According to Gresham's Law, bad money drives out good money in circulation.
- 10. True or False: Credit cards are not considered part of the money supply measure known as M 1.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

- 11. Discuss the concept of a 99% confidence interval in statistical analysis, explaining its significance and how it relates to the estimation of the null hypothesis in economic research.
- 12. Analyze the impact on the equilibrium price and quantity of good Z when the price of its close substitute, good X, rises. Discuss the underlying economic principles involved.

End of Paper